

## The Commodities Feed: Middle East re-escalation pushes oil prices higher

A re-escalation of tensions in the Persian Gulf pushed oil and gas prices higher as the market once again reprices the duration of supply disruptions from the region



### Energy - Tensions re-emerge in the Middle East

We are seeing the first signs of the ceasefire between the US and Iran breaking down amid a re-escalation in the Persian Gulf. ICE Brent rallied 5.8% yesterday to settle above \$114/bbl. The US struck a number of Iranian boats. There are claims that Iran struck a US warship, which the US has denied. In addition, Iran has resumed attacks on infrastructure in neighbouring countries, with the UAE intercepting several Iranian missiles, while Fujairah port was hit by a drone. This port is important for UAE oil exports. It is situated outside the Strait of Hormuz, which allowed oil exports to continue (and, in fact, to increase) despite the war and blockade of the Strait. Prior to the ceasefire, Fujairah was targeted several times. Even so, oil loadings continued largely unaffected, with only temporary halts. LSEG data shows that crude oil exports from Fujairah totalled nearly 1.7m b/d in April.

This re-escalation comes at a time when the US has started guiding commercial vessels through the Strait of Hormuz, under "Project Freedom". Two US-flagged commercial vessels have passed

through the Strait of Hormuz under the plan, according to the US. Clearly, continuation of “Project Freedom” risks further escalation. Any relief from stranded vessels making their way through the Strait will be temporary, with very few inbound vessels moving into the Persian Gulf.

Markets may find some relief today following President Trump’s overnight comments suggesting the conflict could continue for another two to three weeks. However, markets are likely to view this with considerable scepticism, given the recent escalation and the repeated extensions of projected timelines for ending hostilities since the conflict began.

European gas prices also moved higher yesterday following the escalation in the Persian Gulf. TTF settled 5.7% higher on the day and at its highest level since early April. While EU LNG imports in April fell from record levels in March, LNG send-outs remain seasonally high, which has kept EU gas storage trending higher, approaching 34% full vs a 5-year average of almost 46% full. We continue to believe the European gas market and Asian LNG market are underpricing the scale of the supply impact we are seeing from the Persian Gulf. There is little the global gas market can do to offset Persian Gulf LNG supply losses other than to see further demand destruction, and to do that, higher prices are needed.

## Metals – Pressure remains on gold

Gold extended its decline for a second straight session, with spot prices hovering near \$4,500/oz yesterday, as US Treasury yields moved higher amid the rally in oil prices. Higher energy prices mean inflation concerns are only growing, suggesting that rates will remain higher than originally anticipated. This has weighed on non-yielding assets, such as gold. Meanwhile, the broader strength in the USD will only add further pressure. ETF holdings in gold have fallen by more than 2.2% since the start of hostilities in the Persian Gulf, while the managed money net long in COMEX gold is at its lowest level since February 2024. For now, the gold market appears less focused on the lingering geopolitical risk and more on rising Treasury yields.

### Author

#### Warren Patterson

Head of Commodities Strategy

[Warren.Patterson@ing.com](mailto:Warren.Patterson@ing.com)

#### Ewa Manthey

Commodities Strategist

[ewa.manthey@ing.com](mailto:ewa.manthey@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user’s investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).